

The multiplex landscape will now have Carnival and Cinepolis with around 400 screens each and then Miraj at around 150 screens. Sinha of Bexley Advisors points out that PVR and INOX complement each other geographically. “That means there would be little screen cannibalisation.” The scenario in the time to come, he describes, will be a duopoly, with PVR-INOX controlling close to 2,000 screens (including those in the pipeline). “That can change the pricing dynamics for content acquisition or revenue sharing. It will surely augment their buying power with producers,” says Sinha.

Understandably, news of the merger has not gone down well with film producers. What worries them is the ability to drive a hard bargain from an exhibition point of view and eventually, leaving little on the table for anyone else. Today, most large producers control the distribution chain as well, especially in the more lucrative markets. According to veteran producer Mukesh Bhatt, owner of Vishesh Films, this monopolistic situation is a huge challenge. “Of course, producers need to be concerned and we expect the noose to be tightened. There is a good chance that the combine will try to dominate and we have no option. After all, we are up against muscle power,” he says.

During the first week of a release, the money is equally divided between the producer and exhibitor. The equation starts to change from the second week—it is 42.5 per cent for the producer and 57.5 per cent for the exhibitor; in the third week, it is 37.5 per cent and 62.5 per cent, respectively. Once the film enters the fourth week (most releases do not get that far) and till it is pulled off the theatres, only 30 per cent goes to the producer, with the larger 70 per cent in the exhibitor’s pocket. “Even if the merged entity decides to increase its proportion by, say, 2 per cent in the first week, when collections are normally the highest, we are in trouble,” says a prominent producer.

According to Bijli, the PVR-INOX entity is not to be construed as a monopoly: “There are 9,500 screens in India and we are at just 1,500. Apart from us, others too will increase their count.” He emphasises that the movies and exhibition businesses are symbiotic. “If you don’t get



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“Most studios still prefer to reserve mega releases for the big screen. That will benefit PVR-INOX in the medium-term”

UTKARSH SINHA
MANAGING DIRECTOR,
BEXLEY ADVISORS

movies, the cinemas won’t run. There is nothing to be fearful of.” Jain is clear that as more money is invested, it will increase earnings. “The number of films that have crossed the ₹100-crore revenue mark has increased simply because of the investment made by the theatrical industry.”

Waiting in the wings are the likes of Rasesh Kanakia, Chairman of real estate major Kanakia Group, who is now back in the multiplex industry after having sold his 138-screen Cinemax to PVR in 2012. That deal had a non-compete clause for 10 years and Kanakia is back with the MovieMax brand. “We had a lease agreement with PVR for 23 screens. It is a good time to be back since we have managed to get good deals,” he says. The brand will have nine properties across Maharashtra before moving to other states. “There are several untapped markets across smaller centres and metros. The industry will see more consolidation and there is no better time to be in it.” IDBI Capital’s Bhatt agrees: “Many screens can be opened in Tier II and III cities. That will see new players and consolidation is always possible.” Tushar Dhingra, Founding CEO, Dhishoom Cinemas, a multiplex chain in north India, believes the oligopoly between the two players is at a nascent stage. “It’s like how banking and telecom were a decade ago,” he explains. Dhingra cites the instance of a small town like Modinagar, which used to have five cinemas but has none today. “The smaller towns still remain unaddressed,” he says. “That’s why we are creating our own portfolio of cinemas.”

For a few years, especially during the pre-pandemic phase, there had been talk of the PVR promoters (the group holds 17.02 per cent) exiting the business—discussions were said to have been held with South Korea’s multiplex chain, CJ CGV. Today, both Jain and Bijli make it clear they are in it for the long haul. Bijli compares the pandemic to climbing a mountain. “Suddenly we are on top and enjoying the view and someone asks, *apne aap ko kab phenk rahe ho neeche* (when are you throwing yourself off the cliff),” he says with a laugh. Clearly, there appears to be no hurry to exit and Bijli signs off by saying, “Let’s enjoy the view.” For now, it is showtime at PVR-INOX. **BT**

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